

Illustration by SIDDHANT JUMDE

(asset management companies) to create or redeem units of ETFs without upfront payment of 100 per cent value of such units or upfront delivery of such units by the market makers. This will make the redemption process more liquid. Another aspect unique to ETFs is the tracking error. Tracking error is an indicator of the variability in the performance of an index fund and ETF, which indicates the consistency of the fund's tracking difference during a specific time period. Tracking error gauges how much of the returns from the index fund or ETF have deviated from that of the benchmark index.

To make ETFs and index funds more investor-friendly, SEBI has introduced tracking error caps and better disclosures. For instance, in case of debt ETFs, the tracking error on an average over the past one year cannot be more than 1.25 per cent. In case of equity ETFs, the tracking error should not be more than 2 per cent on an annualised basis. Additionally, the tracking error for passive mutual funds needs to also disclose 'tracking difference' on a monthly basis. The difference between the index product's return from that of its benchmark index as on a particular date is called tracking difference.

With these changes, the passive investing space opens up opportunities for AMCs looking to tap this investor space and for investors. Passive funds could become the go-to investment option given their simplicity, model of tracking an index and also ease of trade in them. Globally, passive investing through ETFs has found more takers, and it is perhaps time for Indian investors to also benefit from the numerous ETF and index funds that exist and capitalise on the market indicators. ■

–Narayan Krishnamurthy

AUTO INSURANCE

MOTOR INSURANCE PREMIUMS GO UP

Price rise is prevalent all around and motor insurance, especially the mandatory third-party insurance, is also on the rise. After a gap of two years, the insurance regulator, IRDAI, and the ministry of road transport and highways have announced a hike in rates. Liability only or third-party cover is mandated by law for any vehicle plying on Indian roads. The rates are a factor of the cubic capacity of the vehicle and the type of vehicle. For instance, two-wheelers have a different rate compared to passenger cars or commercial vehicles.

For passenger cars, the rise is in the 0.1-6 per cent range. Two-wheelers with more than 350cc engine capacity face a high 20 per cent increase. The category of electric two-wheelers has seen a steep rise, depending on the charge kw (kilowatt) of the vehicles, with those above 20 kw facing a 20 per cent increase in third party insurance. Surprisingly, the 3-7 kw two-wheelers have seen a 5 per cent drop in third-party insurance premium.

The increase has come at a time when insurance companies witnessed a big spike in policies lapsing during the Covid years. The increase is in effect from June 1, 2022, unlike in the past when such increase would come into effect by end of March each year after a review early on in the month. ■